

Asia Insights

Economics - Asia ex-Japan

The role of the Strait of Hormuz in China's energy supply

While China's overall external energy dependency is low (~15-16%) compared with other Asian economies, due to massive domestic coal use and rapid renewables growth, its reliance on imported oil and gas from the Middle East for transport and industry still represents significant risks amid the ongoing US-Israeli strikes on Iran and resulting disruptions. With 73% of crude oil and 40% of natural gas consumption imported, and around 50% of oil imports and 16% of natural gas imports travelling through the Strait of Hormuz (SoH), we estimate crude oil and natural gas imports transported via the SoH account for 6.6% and 0.6%, respectively, of China's overall energy consumption. The SoH remains a critical maritime choke point for China's import supply chains, particularly for energy and related industrial commodities.

China's overall external energy dependency is low

China's overall external energy dependency (net energy imports as a percentage of total energy use or gross available energy) is low relative to many major economies. According to the CNPC Economics and Technology Research Institute's latest estimates based on 2024-25 data, China's external dependency was at 15-16%, which is much lower than some of its neighbours, such as Japan (~85-90%), South Korea (~80-85%) and India (~80-85%), and some major European industrial competitors such as Germany (~60-70%), France (~45-50%), Italy (~75-80%) and Spain (~70-75%). This is largely because China is the world's largest producer and consumer of coal, which dominates its energy mix (see section below) and is almost entirely domestic, while rapid electrification and clean energy expansion, especially for wind and solar, are further reducing its reliance on imported fossil fuels over time.

China's energy mix

According to NBS data, China's total energy consumption in 2024 was composed of coal (53.2%), crude oil (18.2%), natural gas (8.8%) and primary electricity and other energy sources (19.8%). The primary electricity and other energy sources category mainly consists of clean energies, including hydroelectric, nuclear, wind and solar power. While the complete breakdown for 2025 data is not yet available, the NBS 2025 Statistical Communiqué revealed that coal's share decreased to 51.4% in 2025, down 1.8pp from 2024. This reduction was largely offset by a higher share of clean energy. The NBS also reported annual growth rates of 3.5% for overall energy consumption, 3.6% for crude oil and 2.0% for natural gas in 2025. Based on these figures, we estimate the shares of crude oil and natural gas remained similar to their 2024 levels.

However, there are still key weak points

Oil and natural gas still comprise about 27% of China's energy consumption. China is the world's largest crude oil importer. According to official data, domestic crude oil production and imports reached 216mn tonnes and 578mn tonnes, respectively, in 2025, with negligible export volumes. Based on these figures, we estimate China's oil import dependence, the ratio of imports over apparent consumption, remains elevated at about 73%. Also, seaborne oil flows through the Strait of Hormuz account for about 50% of China's total oil imports, according to SpecialEurasia. Therefore, we estimate that Hormuz-related oil flows represent 36.5% of China's total oil consumption and approximately 6.6% of its total energy consumption.

6.4% of overall natural gas consumption transits through the Strait of Hormuz

According to the NDRC, China's apparent consumption of natural gas totalled 426.55bn cubic metres in 2025. Domestically, assuming a 1 to 1.38 conversion ratio for gas unit calculation, China produced a total of 261.9bn cubic metres of natural gas in 2025, of which 220.5bn cubic metres were gaseous natural gas and 41.4bn cubic metres were liquefied natural gas (LNG). This implies an overall import dependence ratio of 39.4% in 2025. China net imported a total of 92.0bn cubic metres of LNG in 2025, while net

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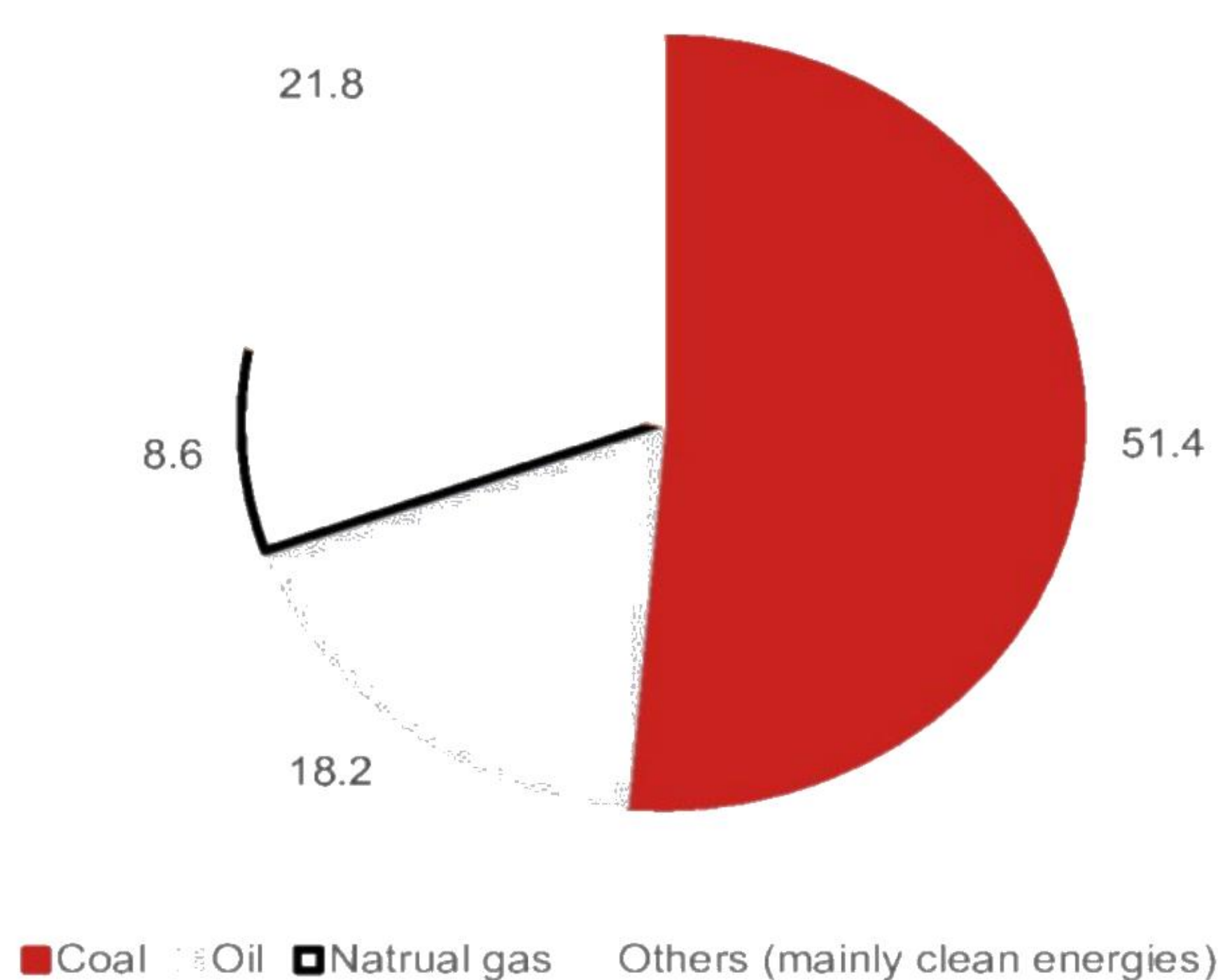
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importing a total of 78.0bn cubic metres of gaseous natural gas.

Among LNG import sources, Qatar accounted for 29.4% of the total, coming in a close second to Australia, which represented 30.4%. Together with the United Arab Emirates, which represents 0.7% of China's total LNG imports, Gulf countries affected by the closure of the Strait of Hormuz account for 30.0% of China's total LNG imports by volume and represents 6.4% of China's total annual apparent consumption of natural gas. Since natural gas accounts for 8.8% of China's overall energy consumption, natural gas imports (all LNG) via the Strait of Hormuz make up 0.6% of China's total energy consumption.

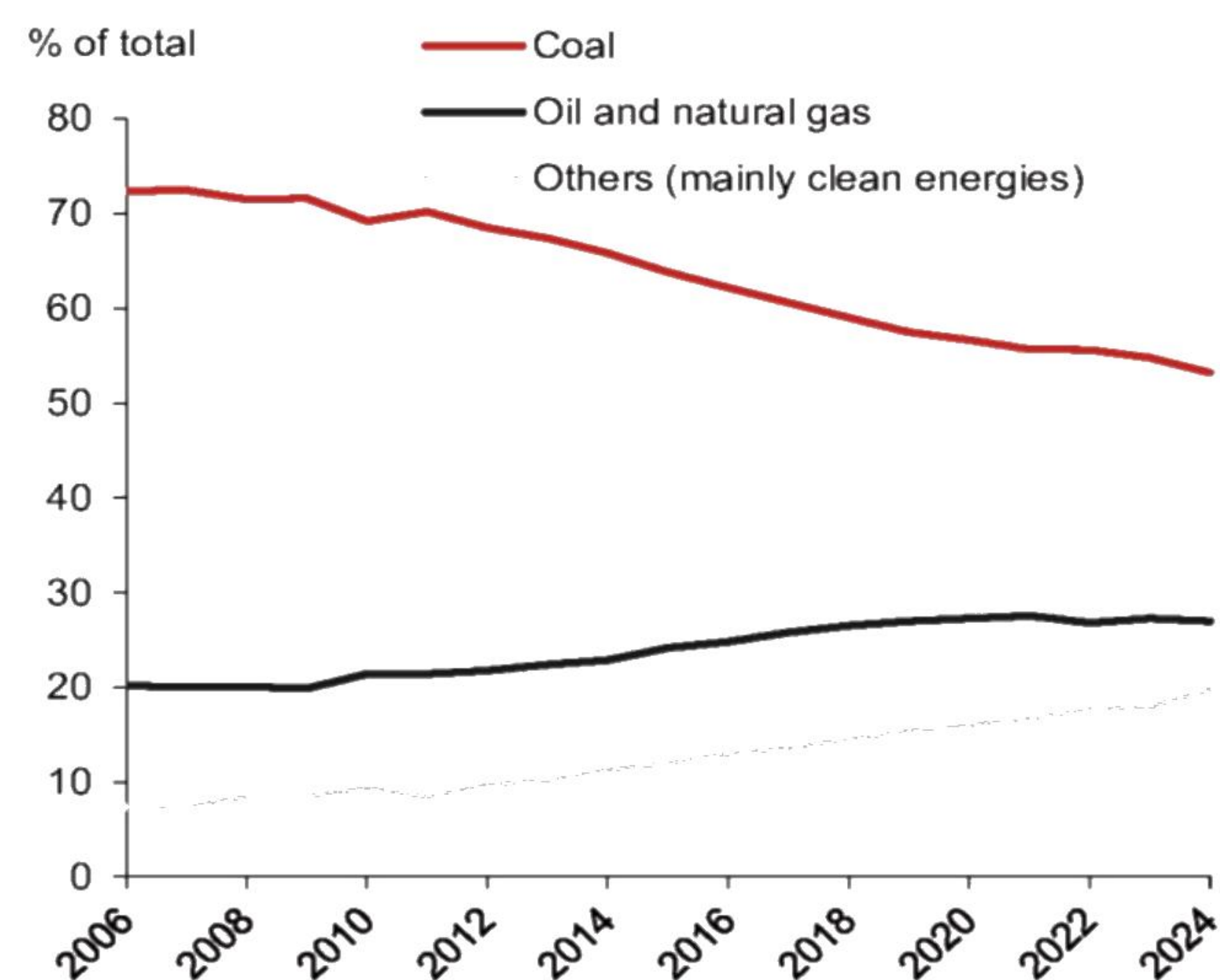
Fig. 1: China's energy consumption structure



Note: The data represents energy consumption shares in 2025, based on Nomura estimates.

Source: NBS, Nomura Global Economics.

Fig. 2: The combined share of oil and natural gas is relatively steady



Note: Data refer to annual consumption shares of different energy sources.

Source: NBS, Nomura Global Economics.

Appendix A-1

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